

SHIP IT

Silicon Valley Product Managers

Reveal All

Even the best Product Managers cannot do
their work through instinct alone.
You're not psychic.
You need to gather data.
And much more.



From specific advice to general wisdom about Product Management.

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Editor: Nathan Thomas.

Proofreader: Gabriela Araujo.

Contributors: Roy Cobby.

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SHIP IT: SILICON VALLEY PRODUCT MANAGERS REVEAL ALL

Dear (Future) Product Manager,

You're up against a million deadlines. Your engineers are fretting about the functionality. Your designers are in mutiny about specifications. Your business manager is screaming about the budget, and your sales team just wants to talk pricing. What do you do?

The biggest challenge and most important responsibility of a Product Manager is to stay focused on the user. You are the advocate for the customer. You put their interest first, and ensure that the end result actually achieves what you set out to accomplish in the first place.

Even the best Product Managers cannot do this through instinct alone. You're not psychic. You need to gather data. You need to systematically understand your users. And you need to learn how to effectively communicate this understanding to your team, so they are inspired to share your vision, and stay on track.

Presenting practical advice and thought leadership from PMs at companies

like Airbnb, Reddit, and Square, 'Ship it: Silicon Valley Product Managers Reveal All' shows you how to succeed as a Product Manager by putting the user first, and getting your team on your side.

The chapters you're about to read provide specific advice on conducting user research and applying metrics that actually matter, as well as more general wisdom about the Product Manager career path, communication skills, and life lessons from PMs at the top of their game.

No matter where you are on your PM journey, you're bound to find nuggets of wisdom here that allow you to upgrade your thinking, and achieve more for your users and your career.

Enjoy the voyage!

A handwritten signature in black ink, appearing to read 'González', with a stylized flourish at the end.

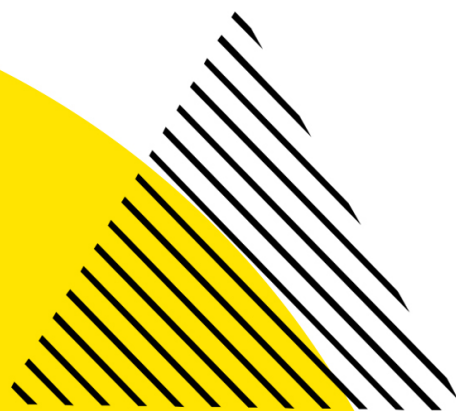
Carlos González de Villaumbrosia,
CEO of Product School

01

How To Achieve **Product-Market Fit**



by Dan Olsen
Author



How To Achieve Product-Market Fit

Dan Olsen –

Author of The Lean Product Playbook

— What does it actually mean to have Product-Market fit?

The Product-Market Fit Pyramid

- UX
- Feature Set
- Value Proposition
- Underserved Needs
- Target Customer

As you can see, the topmost three layers are concerned with the product. The base of the pyramid is concerned with the market.

The target customer is at the bottom because it is the most important element. **If you mistake the customer that you're going after, the entire pyramid can collapse** and you might have to start all over again. You only want to target customers with underserved needs – otherwise, they will have no use for your product.

Everything else builds from here: The value proposition is a statement of how you meet the target customers unmet needs, the features deliver that value, and the UX is how the customer experiences receiving that value. If everything is aligned, then you have Product-Market Fit.

The Lean Product Process

To achieve Product-Market Fit via the Lean Product Process, you begin at the bottom of the pyramid and work your way up.

- Determine your target customer.
- Identify underserved customer needs.
- Define your value proposition.
- Specify your MVP feature set.
- Create your MVP prototype.
- Test your MVP with customers.

In this chapter, we're going to explore steps one through three, which is the foundation of Dan Olsen's pyramid.

One: Determine Your Target Customer

Often companies have an idea of their target customer which sounds good at first but, upon digging deeper, is actually very vague. “Millennials” sounds good at first glance, but when you stop and think about it you realize this is a hugely diverse group with diverse needs and problems. You need to go deeper. For example: “Millennials who aspire to cook at home.”

Customers can share high-level needs but have different detailed needs. For example, a soccer mom and a young speed demon may share the high-level need of: “Transportation within 100 miles of my home”, but their detailed needs are going to be very different! The soccer mom probably needs space to transport her kids, their friends, and their athletic gear. She probably values safety, and maybe fuel economy. The speed demon probably values speed, style, image. This is why there are so many different types of cars on the road!

Identify Underserved Customer Needs

When talking about needs, we can drill down into Problem Space versus Solution Space.

- **Problem Space:** A customer problem, need or benefit that the product should address. This is a product requirement.
- **Solution Space:** A specific implementation or design that is intended to address that requirement.

Too often, PMs barrel right into solution space without taking the time to think about the problem space. This is why a NASA contractor spent \$1 million back in the 60s on R&D to invent a “Space Pen” that could write in zero gravity, while the Soviet Union merely gave their astronauts \$0.50 pencils! Both solve the problem, but with significantly different levels of cost!

The NASA “Space Pen” exists purely in the solution space. Dan Olsen calls this “solution pollution” – NASA’s goal was to “create a pen that writes in space.” If the goal was focused on the problem – “the need to write in space” the idea of a pen would not have polluted their focus, and they would have saved \$1 million!

Given that the problem space is likely to contain many needs, **it's important to prioritize based on customer value.** But how do we do these? Dan Olsen proposes a formula:

Importance vs. Satisfaction

- **Importance:** Take a customer's stated needs – for example, to save time, save money, and ask them “How important is this to you on a scale of 1 to 10.” This is an easy way to determine the importance of a particular need.
- **Satisfaction:** Ask the customer how satisfied they are with the current solutions available to them.

A competitive market is a need with a high importance that is currently being well met by other companies. Try to look for a need that is of high importance, but is currently being poorly met. This is where opportunities are found.

Defining Your Value Proposition

Which benefits are you going to deliver, and how are you going to be better? Here, Dan Olsen recommends applying the Kano Model:

- How fully does the product meet the customer need?

- How satisfied is the user while using this product?

Plotting these two metrics on a simple graph, we come up with three important types of features/benefits.

Must-have – A met need does not always lead directly to satisfaction, but it can help users avoid the unhappiness of having that need unmet. For example, seat belts are a must-have for a car, but using them doesn't confer satisfaction to the customer! Once each seat has a belt, there is no room for this need to be further met. That's the end of the road. Must-have features can be the core service your product delivers, but what differentiates it from the competition.

Performance – More is better, less is worse. A microchip that is 10% faster than a competitors' is 10% better. Not having it causes problems, having it provides value.

Delighter – Not having it doesn't cause problems, having it causes happiness and satisfaction. Needs and features migrate over time. GPS navigation was a delighter. Now it's expected, so it has moved to the *performance* or even *must-have* category. Yesterday's *delighters*

becomes today's performance features and tomorrow's must-haves.

How do we use these three categories to come up with our value proposition?

Your Value Proposition in a Nutshell:

- Which user benefits are you providing?
- How are you better than the competition?

To answer these questions, Dan suggests creating a grid where at least one benefit is listed in each of the *must-have*, *performance*, and *delighter* categories. Next, add a column for each of your competitors, and one for your product. Score yourself and your competitors on each of these benefits. You won't be high on all of them, but this exercise will show you where you have the edge – your unique differentiators: where are you going to outperform, where are you going to out-delight?

Example: Uber's Value Proposition

Uber's Value Prop

Customer Benefit	Taxis	Car Services	Uber
Must-Haves			
Take me where I want to go	Y	Y	Y
Performance benefits			
Let me quickly get a ride (faster)	Med	Low	High
Save me money (cheaper)	High	Low	Med
Make me feel safe (safer)	Low-Med	High	High
Delighters			
I can book without having to call	N	N	Y
I can see where the car is	N	N	Y

Summary:

- Peel the onion to:
 - Determine your target customer.
 - Identify their customer needs.
 - Define the problem space.
- Identify underserved needs by using importance and satisfaction.
- Define your value proposition using the Kano model.

If you want to see Dan Olsen's ProductCon SF full talk, [watch it here](#).

User Research to Inspire & Empower

by Ketan Nayak



User Research to Inspire and Empower

Ketan Nayak –
Product Manager at Dropbox

— A PM who doesn't speak to users is missing out on one of their key responsibilities, and so understanding the importance of such research is foundational to building a great product.

Ketan's philosophy can be summed up as:

“Empower People by Inspiring Empathy and Uncovering Truths.”

Let's break this down.

Empowering People

Empowering people to overcome needs requires an understanding of what your users' needs really are.

Doing great user research can empower two groups of people:

- **Your team** – It helps your designers and salespeople do more targeted work.
- **Your users** – It empowers them to better use your product to fill their needs.

Just asking people what they want isn't enough. People don't always know what they want. Instead, ask a slightly different question: What jobs are your customers “hiring” your product to do? Customers don't want products – they want something that does some of their day to day “jobs” for them.

How To Get Your Product “Hired” – Find Out:

- What are the jobs that occur in your customers' lives?
- Under what circumstances do these jobs occur?
- How can your product be “hired” to do these jobs for your customer?

You can look at “jobs to be done” (jtbd) as a particular kind of nuanced User Story. Here’s a tasty example:

Milkshake Metaphor: Two types of people buy milkshakes. Adults who buy them for their long commute to work, and adults who buy them after school for their kids. The two users need the milkshake to do different “jobs.” The first group wants a large milkshake with a small straw that takes longer to drink and “entertains” them during the commute. The second group needs a small milkshake with a big straw that will quickly satisfy their kids without making them sick.

Inspiring Empathy

Inspiring empathy requires systematically communicating user problems in a way that can be easily understood. It shows your users that you understand them, and builds a connection.

Think about the delight that users experience when they use your product. **You want your customers to be delighted**, but the only way to do this is by learning something which gives you a deep, empathetic understanding of how your users feel.

For example, a user may have a great experience BUT if they’re unable to explain that experience to their bosses, your product won’t succeed. You need to constantly ask the fundamental questions about the why. You are striving for a sense of the story that your customer experiences as they use your product.

Uncovering Truths

Uncovering truths mean having a methodology of validating the many assumptions that go into designing great products.

Facts and data that can allow you to make better, smarter decisions. Quantitative analysis can be powerful. Facebook found that when you have seven or more friends, you are likely to stick around. With Twitter, the threshold seems to be 30 followers.

Users can tell you a lot but often that themselves don’t accurately understand how they are using a product. **If you don’t gather data, you can build a product based on assumptions.** For example, when Facebook first released the newsfeed feature in 2006, there was a huge backlash.

Users said they didn't like it. Numbers showed otherwise. The newsfeed has been an undeniable success. In this case, data succeeded where users' own self-knowledge had failed. If you want to see Ketan Nayak's ProductCon SF full talk, [watch it here](#).



The Only **Metric** That Matters

by Josh Elman



The Only Metric that Matters

Josh Elman – VP of Product at Robinhood, Partner at Greylock

— The best way to build products that solve real problems and have an impact on users is to understand if and how people are really using them. If you really want to understand your consumers, you must first define the metrics you'll use to measure their overall satisfaction.

One of the most important ideas that **product people should be thinking about is metrics**. The best way to make sure your product performs to its full potential is by measuring your progress at every step.

“Success is measured according to how many times your users perform a key behavior within an expected time cycle.”

Some of the key concepts regarding this overall topic of measuring success include understanding key users, churn, virality, and your user lifetime. These concepts come together to form the vital framework that allows you to discern what impact your product truly has on the world.

Analyzing the Product Launch

One of the most important aspects of developing a product is the launch. All products, companies, and even new features start with zero users. As with any venture, you should have already designed something that attracts users and delivers value, if not, what are you doing?

The first set of data you must retrieve is asking your early adopters, even the ones who stopped using the product, about their journey. These experiences can be positive, negative, confused, or any feeling that gives you an idea of who is using your product and how. Once you have a collection of stories, you can translate that into a data set and look for statistical correlations. You can then turn this data back into encompassing stories that help you take action within each of the different user journeys, depending on their needs.

Key Questions to ask During the Launch Phase

- Is my product creating a story that actually matters?
- How well are we satisfying user needs?
- What feeling/emotion do users experience when they use your product? Are they happy? Relaxed? Connected?
- Are they receiving what they want from your product?

Once you have an idea of how your product satisfies, you can figure out how often it satisfies, or, how often consumers are really using your product. However, **no two companies can use the same metrics.**

Examples of How Metrics Vary in Different Companies

- **LinkedIn:** Their users can be thought of as two groups. Recruiters, using LinkedIn more than three times a week to find people, and, career-focused people who just want to be found, using it about three times a month. In this case, LinkedIn's success shouldn't be measured by habitual use, rather, by its onboarding.

This metric of real usage allows LinkedIn to see that their consumers value the ability to be available on the platform, keeping them from wasting efforts on improving daily usage and allowing them to focus on their onboarding.

- **Yelp:** This a product that is not an everyday need; you use it to find local business and services around you and you maybe use it once or twice a week. If you aren't using it this often, you're most likely fulfilling the need through another provider, such as Google.

So, a weekly metric can be suitable for understanding how well you are performing. When it comes to reviewers, what is the cycle of usage like compared to the users looking to find businesses? Do they post all the reviews at once? This is the type of data you have to understand when defining and analyzing your metrics.

- **Facebook:** Hands down, Facebook is the definition of a daily use, even hourly use, a product for staying connected to what you care about. However, they have somewhat skewed the bar for other businesses who believe they need to have metrics similar to Facebook's to reach success.

As you've seen in the other examples, this is not the case. Depending on the product or service, daily usage doesn't always accurately measure performance and is not needed to be a highly successful business.

- **Discord:** This communication platform for PC gamers can also be divided into two groups, daily gamers, and weekend gamers. When analyzing the usage, Discord has to understand that if consumers aren't gaming, they won't be using the product, so, weekend gamers should not negatively affect the usage metric during the weekdays and vice versa.

Breaking down the consumers like this allows Discord to have the goal of “whenever they are gaming, they are on Discord” and not waste efforts elsewhere.

- **Airbnb:** This service can barely be called monthly usage, more like trimonthly. So instead of putting a time frame on usage, their goal is that whenever you're taking a trip and need to find a place to stay, you should be using Airbnb. How do you convince your user to use your service 3-5 times a year? You have to make sure you have a strong brand presence, so when they do think travel, they think Airbnb.

This is a difficult task to accomplish. That cycle of a host and renter having a good experience is much different to measure compared to simply logging onto Facebook once an hour.

The Three Types of User

There are typically three types of user: **core, casual and cold.**

Cold users rarely use the product while the casual users are habitual, but they aren't in love with the product. The core is where we need to focus; these are the **users who went through a journey and really love and support your product.**

The core user is the most important because they have specific experiences that have led them to loyalty. These core users, the ones really using your product, can provide invaluable insights. If you can discover and measure the users journey and the emotions they associate with it, it will be much easier to “build more things that will cause more people to become my core user.”

Once you have a group of core users, consider ways that these users can “clone” themselves. This is how you

achieve virality; by making core users into recruiters.

To Succeed, Understand Your Users

How are your users actually using your product? Consider metrics that realistically show how frequently users are interacting with your product, within the context of the needs that your product serves. **Not all products require daily use in order to succeed.**

What matters is that when your users encounter the need that your product serves, your product is their first, natural and habitual choice. Discover and measure the user journey and the associated emotions to reward loyalty, and create a group of “core users” who will be the foundation of your success.

If you want to see Elman's ProductCon SF full talk, [watch it here](#).

Lead Through **Influence**

by Tyler Odean



reddit



Leading Through Influence

Tyler Odean –
Director of Product at Reddit

— Some leadership advice is very explicit: it emphasizes what you must do. For instance, to take up a particular approach towards teams, or employ different tools in your planning.

But effective leadership pathways are not about doing, but about **changing your whole outlook**. Obviously, trying and experimenting with new formulas matters a good deal. It's just even more effective if you launch these solutions from an entirely new framework.

This is exactly what Tyler Odean, Director of Product at Reddit, has found most productive. In the past, he led teams at Google for almost a decade. His current PM team is constantly improving the experiences of thousands of Reddit contributors across the world. Ranking, relevance, search, discovery... These are really important for the site to work.

This being such a dynamic and diverse community, the product team cannot simply apply the changes they deem fit. And the PM can't take the

team's confidence for granted. They both need to be on board for the roadmap to success.

As a result, as Odean argues, influence is fundamental. Influence is not understood in the popular, superficial sense, as having a lot of traction on social media or within a certain group. Influence means that you can generate trust and **persuade others that your product vision is the correct one**.

Now, does this mean that your preferred option always needs to be the chosen one?

Let's find out.

Two Systems to Generate Consensus

Product Management, like any other discipline, helps us deal with complexity from basic assumptions. Here, Odean stresses, we must refer back to how human beings form and communicate beliefs, according to psychology. The baseline assumption

is that **we aim to make our preferred messages sound more truthful.** Obviously, if we want to lead anybody towards a particular direction, we want that direction to look like the right one!

There are two general “Systems” where humans deal with persuasion. System one is natural, intuitive and subconscious. System two is deliberate, cognitive and literal.

System 1 is the most productive. Regardless if we are at the emitting or receiving end of a particular opinion, under System 1 we make choices quickly and effortlessly. It’s the kind of decision-making that takes place below your consciousness.

System 2, on the other hand, requires more focus. It resembles the image most of us have of our thinking process – that voice in our conscience. It’s more literal and descriptive. However, it doesn’t translate as well as System 1. Why? Well, according to Odean, the problem is it requires thoroughness on the side of the speaker; and attention on the side of the listener. Here’s where we rationalize opinions, we try to justify them with a combination of data and arguments. However, this is also where most mistrust and disagreement takes place.

Let’s take this example from Odean:

The team has a proposal. The presentation is flawless. The plan looks feasible, and the potential gains are really solid and logical. Yet, you’re still doubtful. This is because they really appealed to you through System 2. But they failed to engage with you on a basic, instinctive level: System 1. Here, things are binary: yes or no. Interestingly enough, you will express your disagreements with System 2: rationally, in a coherent way. And your team will face you with similar, contrary arguments.

And this could go on forever, with no consensus in sight.

Avoid the Bias Trap

To set yourself free from this kind of pitfalls, you need to address System 1.

As we said at the start, **changing your leadership implies changing your whole approach in addition to applying new methods and tools.** Odean is very adamant in acknowledging the biases that shape our perspectives.

As seen above, even if you rationally know something to be true, this is not enough to believe it. It’s basically impossible to trick your brain.

At the same time, you can prepare yourself for some of these preconceptions. Let's check them out:

1. Availability

Picture this situation. You're at your favorite lunch joint. There are two queues: one for sandwiches, another one for salad. Your doctor recently told you that you have to cut down on sandwiches. At the same time, there are way more people queueing for a salad. In fact, you only have a few minutes for lunch today.

What do you pick? Even though you rationally know that you should go for a salad today, the fact that the sandwich is much easier to reach will influence your decision. It will take a lot of willpower to patiently queue for the salad.

Believing an idea might work is based on its availability. Can you communicate it easily? Do you have the tools to start tomorrow? Is its impact easy to measure?

Both your team and your users will get behind your features and products if they feel like they're simple and direct. A good marketing campaign will appeal to System 2 thinking, but a great roadmap will take into account

the need to tickle System 1 as well. As Odean says "If it feels effortless, it feels true".

"If it feels effortless, it feels true."

2. Anchoring

Here's another example for you. And it can be a very personal one. When they make you a salary offer during an interview, that first number can determine your whole outlook on the job. Even if you know amounts are open for negotiation, and you feel in a strong position, that first exchange will likely determine your attitude during the selection process.

In other words, **"the first thing considered always carries more weight than it should."**

As Odean argues, most "deals" operate on System 1, where we don't have much time to think or make complicated operations. Initial values will work as a benchmark for future ones. So be very careful in your initial projections, even if you manage to justify costs with System 2 arguments and a thousand spreadsheets!

“The first thing considered always carries more weight than it should.”

3. Representation

This final word of advice is all about human efficiency. As seen above, math is an abstract, complicated language. System 1 thought is basically immune to this approach.

As a result, we transform operations into pictures. Picture this. You're offered two boxes. One has three new iPhones. The second one has four, but one of them is broken. If you let yourself be guided by your first thoughts, you'll go for the first box.

We tend to average everything. A product plan is like baking. If there's an ingredient in our recipe that doesn't fit that well, this will ruin the whole cake. Pick your best shots and don't waste time with elements that don't add to your story.

“Focus on your highlight reel.”

Leveraging Cognitive Biases: 7 Steps

Odean has a set of essential tips he uses to avoid these biases. Check them out:

1. Keep it Simple – The easier your message is to remember, the easier it is to believe. The shorter it is, the less likely you are to use System 2 to evaluate it.
2. Never Surprise Anyone – People will be skeptical of surprises. They do not like being persuaded so quick because it feels as if they are being manipulated.
3. Make it Really Easy to Agree – Allow the people who will agree to agree easily, while the action is put on the people who disagree. ~~Should we ship 50 units?~~ Unless anyone objects, we are shipping 50 units.
4. Control the Comparison – Audiences are always comparing, so provide the most beneficial comparisons and delete the most destructive ones.
5. Argue as Little as Possible – Every time you disagree with your audience, you are portraying

yourself as dumb and allowing them to dismiss you as uninfluential.

6. Argue Forwards, Not Backwards – It's much easier to argue that new information will change things than arguing that past assessments of things were wrong.
7. Play the Long Game – The people you are trying to persuade will most likely matter much more than the decision you are trying to persuade them of. Be prepared to be persuaded if your audience is more experienced, this will show cooperation and help establish a relation for future interactions.

Summing Up: Don't Ditch your Tools, Change your Thinking!

One of the most common problems with leadership in product management guides is their tendency to overshoot. They often list several approaches and tools you can use to improve now.

This is all good, but it doesn't address the main problem: influence. If you aren't able to convince others, make them embrace your solutions or even follow you in tough times; then your product plans are on shaky grounds.

At the other extreme, if you learn how the human brain works and the connections between System 1 and 2, you'll be on the highway to product success. The point of Odean's explanation is that you need to appeal to people's cognitive biases before you start selling them an idea.

Things like averaging values, or championing simplicity, are permanent characteristics of the human thought. Facing your internal and external stakeholders with this in mind will greatly facilitate your product plans.

For more examples of cognitive biases and tips for how understanding them can improve your persuasiveness, check out Tyler Odean's recommended reading *Thinking Fast and Slow*.

If you want to watch Tyler Odean's ProductCon SF full talk, [watch it here](#).

05

Why FinTech **Matters**

by Amrit Pal

 Square



Why FinTech Matters

Amrit Pal –

Product Manager at Square

How FinTech is Breaking Barriers and Changing Finance

— Four billion people now own smartphones with affordable data. The majority of the world is now connected to the digital ecosystem. **Barriers to financial technology no longer exist for much of the world.** The marginal cost of distribution has gone down to zero. Startups no longer need to begin with massive investments in data storage – everything is already in the cloud, at their fingertips.

In the United States, much has changed since the late 1990s. In economic terms, banks are a financial intermediary. The core function of a bank is managing risk of capital, with a lot of regulatory oversight. Banks depend on physical coverage – your local branch, your personal banker who knows you.

Because of this structure, people from different financial classes were excluded from the system – only people wealthy

enough to be valued by the bank received a good service. The top 20% were served well, the bottom 80% were left out.

Now, banks are not physically distributed. **The barriers are now about digital experience.** The costs have plummeted, so access can be expanded.

Banks provide many services which are broken into departments and treated separately – loans, mortgages, transfers, savings. There was nothing that addressed an individual's financial life as a whole. With technology coming in at scale, banking is becoming unbundled. Individual apps can each deliver an excellent user experience for one specific part of this service. AliPay, PayTM and many others provide the transfer service once exclusive to banks.

Getting access to credit used to be a major challenge for most people. The Catch-22 was that only people who already have credit were permitted to access more. Others were left out. **Now, technology allows lenders to lend responsibly to people who don't have a credit history.** People have a digital footprint, which provides the credibility once only apparent through credit rating.

Investment has also become more accessible. It used to be available only via expensive brokers. Now, with apps like Robinhood, anyone can invest with little or no fees. As banks are getting unbundled, individual apps that once served only one function are now bundling more functions in, and becoming their own financial ecosystem.

How to Build FinTech Products

1. Develop Cultural Empathy

How people treat money is highly personal and a deep part of their psyche. So how do you understand what money means to someone?

- The best way to do this is to actually spend time with customers. Talk to them and understand the specifics of their lives and the immediate situations they are dealing with. **Data cannot tell you everything.**
- Understand the emotion behind money. Are they aggressive, or conservative?

2. Provide Utility with Trust

Trust is going to be a huge factor no matter what you do. People need to trust you with their money, that it is

regularly available and can be tracked with certainty. Understand how people will use their money at the level of why

- what will their earnings be applied to
- school fees, medical bills, travel?

3. Serve Adjacencies

Serve adjacent needs around the problem of money. FinTech is an infrastructure itself. You can't handle money without financial infrastructure. Once you have created this infrastructure and have served a core market, you can apply your existing resources to also serve adjacent needs.

Where Are We Going From Here?

We are leveling the playing field. The tools that were available to only the very privileged 20 years ago will shortly be available to everyone. Today's new players will become tomorrow's incumbents, and new, established ecosystems will emerge. **Highly tailored experiences will be available for everyone**, so an individual can arrange their financial life the way they want to. Today, financial data rests within a financial institution. In the future, this will hopefully be within an individual's control.

Want more examples or tips? Then [check out the full talk here.](#)

Building a Culture of **Experimentation**

by Byron Jones



Optimizely



Building a Culture of Experimentation

Byron Jones –
Director of PM at Optimizely

— Byron Jones is a former NASA Engineer who has brought his knowledge and skills into the Product Management realm. His NASA background and five years as a PM at Optimizely makes him well equipped to provide advice on Building a Culture of Experimentation.

Jones posits that fostering experimentation can lead to major growth if you have an experimentation mindset and form strong habits early on.

Why Experimentation Matters

How do you know that a product, or a product change, is successful or not? Different people, different places, different experiences, it's impossible to control for all of the externalities that make it difficult to explain the story your data is trying to tell you. **Experimentation is the only way to systematically determine the effect that your product is going to have.**

Netflix set out to build a product that optimizes for customer lifetime value (CLV), but they realized that they can't wait for 29 months to see whether someone takes more or less time to churn as a result of an experiment. Ultimately, they turned to data science to predict user CLV based on short-term changes in behavior.

The Six Habits of Experimentation

Building these “Six Habits of Experimentation” will help your company gain usable data to make better decisions and improve behavior quickly.

1. The first habit Jones speaks on is the necessity of leaders asking about experiment results. Jones says, "culture starts from the top," so **PMs must be available and attentive to their team members.** This shows that ideas are valued, giving them the confidence to work harder knowing they will be heard.

2. Second, Jones says that **teams can "protect" their ideas by framing them as experiments.** This changes the conversation from risk and investment to testing and data, allowing teams to have more opportunities to capitalize on promising ideas.

3. The third habit is that **leaders should always celebrate wins and losses**; while wins increase profit or have other positive effects, losses allow for teams to re-evaluate, re-test, and find a solution. Jones refers to this as the Experimentation Singularity, where experimentation becomes self-reinforcing.

4. For the fourth habit, Jones says that **teams must hire for an experimentation mindset**. He says this can be achieved by requiring interviewees to present a data set, and then, look for the applicant who can best use context to tell a story about the truth of the data.

5. The fifth habit relates to **choosing the right metrics for your experiments**. Experimentation allows teams to remove guesswork and objectively make decisions, so, you have to make sure your metrics are suitable for your optimization goals.

6. The sixth habit is about building experiment velocity; **the more experiments that are conducted, the more ideas that can see the light of day**. A few ways to achieve a higher experiment velocity is through investing in education and training, holding experiment review meetings, simplifying experiment launches and their requirements, and automating experiment tracking. With these

actions, you will see an increase in experiments and an increase in successful decisions.

By implementing these six habits, you will be able to build your own culture of experimentation at your venture, allowing for major growth and innovation from your teams.

If you want to listen to Byron Jones' full ProductCon SF talk, [watch it here](#).



How To Crack **the PM Interview**

by Gayle McDowell
Author



How to Crack the PM Interview

Gayle McDowell –
Founder/CEO at CareerCup

— Everybody knows Product Management is one of the most attractive positions in tech. This is why there is heavy competition from people coming from diverse disciplines: engineering, design, marketing, even sales!

One of the positives of heavy competition is that, with a little effort, you can rise above it.

Gayle McDowell, author of several books, including *Cracking the PM Interview*, is the Founder and CEO of CareerCup, a website/forum, publishing company, and consulting firm oriented around landing tech jobs.

She has a lot of experience with interview processes. Let's start with the basics.

Searching for the Perfect PM

McDowell started off by highlighting the fact that “the perfect PM is a myth.” She said that **it is impossible to be highly skilled in every discipline a PM requires**, so, you should understand your strengths and weaknesses and be able to portray them in a complementary way.

Once you know where you lack experience, you can prepare your pitch with stories that demonstrate how you will be successful in tackling the problems you haven't yet experienced.

In order to formulate your pitch, you must understand the requirements of the position and how you fit in. If you're coming from an engineering background, McDowell said you may be stereotyped as great with numbers but lacking the ability to make business decisions.

Knowing that the position will require a strong business mindset, along with other skills, allows you to prepare examples that show how you will be effective in these disciplines.

Reinforce your Resume Without Repeating it

When developing your pitch, McDowell said the most important thing to remember is that the interviewer will be looking for **how your stories actually represent the work you will do**. This is why it is vital to provide stories that show how you were adaptable and successful. Remember, the interviewer only has your resume, so you have to present yourself in a way that enforces your resume without repeating it.

Hobbies can be a great way to contrast your “stereotype.” She takes this even further by saying that a hobby can be used as your motivation or a driver, showing the interviewer that you are passionate and want to learn about something that may not be your career. An example of this is a data analyst who loves to paint; this portrays that, even though they are a numbers person, they still have a creative design side.

Typical Interview Questions

The Product Design Question: The interviewer will ask you to design a product and it is difficult to do so without asking as many questions as possible. You need to know about your

users’ behavior, their age and where they will use the product. A bookshelf for all the books in a classroom is much different than one for just a few in your house. Get creative and reinforce your message.

The Favorite Product Question: You should never come to a PM interview without having a favorite mobile app, FMCG, company product, etc. For all of your favorite products, you should prepare answers to questions such as:

- What needs does it solve?
- Why do people love it?
- Why do you like it over alternatives?
- How would you improve it?

Most importantly, you need to show insight. You need to think of the product as a PM and be able to demonstrate that to your interviewer. **Bring competitors, users, and improvements into your answer to show that you understand how the product is successful and that you have insights on how to improve it.**

A quick tip for preparing answers: Find a list of strengths and weaknesses and pick five from each side that you believe you have. For each of these ten characteristics, write out a story that represents how you were successful or

improved. Make sure your stories have a strong message by structuring them with the situation, action, and result.

Want more examples or tips from Gayle? Then [check out the full talk here](#).

The Evolution of **the PM Career**

by Helen Sims



The Evolution of the PM Career

Helen Sims –
Product Manager at Airbnb

— Helen Sims, PM at Airbnb, has over six years of experience in the product industry and is eager to reveal her journey. Understanding Sims evolution of the PM career will provide a more complete idea of what becoming a PM entails and how to become proficient at the role.

Your 50-Year Career Trajectory

Before jumping into the PM career evolution, Sims first asks you to picture your career in terms of a 50-year trajectory. This allows you to hold yourself accountable by solidifying how you would like to invest your time and what results you would like to see. Without these goals, you may become lost in your career and not know what you want or how to achieve it.

With this broader framework in mind, let's explore each "rung" on the PM ladder, and dive into the type of work and thinking what will be required from you at each level.

Rung One: Entry Level

As with any new position, you will most likely begin at the entry level. Sims stated that the entry level PM position is all about "doing work with help" in order to gain an understanding of your organization and your function within it.

Entry level PM work entails making iterations to existing products by learning how the other disciplines function and beginning to interpret and present the results. Remember, **experiment results are never what you expect and human emotions are complex**, so, be flexible and adapt your communications accordingly.

Lastly, a quick tip for that first presentation: Never leave your messenger apps running while presenting!

Rung Two: Doing Work (Without Help!)

The next step in the PM evolution is "Doing work ~~with help~~." You're no longer in the entry position, you're now a full blown Product Manager. Congrats! Sims said that now, it isn't

about receiving help, rather, doing work.

At this point, **you will be building products from end to end and interpreting massive amounts of data**, requiring you to proactively communicate with your team. Lastly, Sims stated the importance of instilling a vision in your team and making sure you deflect praise and absorb blame.

Rung Three: PM Manager

Now you're a PM Manager... This involves "helping others do work." Sims states that **you'll be focused on attracting and retaining quality talent, improving your team's overall effectiveness**. Also, you will have to develop frameworks that simplify processes such as solving problems and giving advice or feedback.

Sims says that "people don't leave bad jobs, they leave bad managers," so, make sure you are attentive to your team members issues and desires.

Rung Three: PM Manager Manager

The final step of the PM career evolution is becoming a Manager of Managers. Besides the main goal of solving problems (lots of them!), Sims

said that you must increase your team's performance through effective leadership.

Effective leadership means you need to make sure you set the direction of an entire company initiative using your own product philosophy. If your team doesn't hold a unified philosophy, you may run into many inconsistencies between disciplines. Sims provided us with an example using her own product philosophy:

"Customers first, business second, ego last."

If you want to listen to Sims' ProductCon SF full talk, [watch it here](#).

9 Lessons from Managing Products **at Facebook**

by David Breger
facebook



9 Lessons from Managing Products at Facebook

David Breger –
Product Manager at Facebook

— David Breger explained the nine valuable lessons he's learned from his time at Facebook as a Product Manager in hopes that new PMs can better handle common issues.

Lesson One: Prepare for Success.

PMs tend to have a data/engineering background, meaning they are often analytical and skeptical. They are trained to prepare for failure, and are therefore often unready for success when it eventually comes. **Design products** that will work if they succeed – if your product quickly acquired as many users as you hope for, will it cope? Apply the same attitude to your career – are you ready for the next move?

Lesson Two: Have Strong Opinions, Loosely Held

Hold to your beliefs and believe them with passion, while still having a flexible perspective that is essential when managing an innovative and diverse team. **Product Managers need to lead through conviction**, but also be willing to change course when presented with irrefutable data. It's a delicate – but an essential – balancing act.

Lesson Three: Be Adjustable

As a PM, you come into a team with engineers, designers and others. You can come in with your pre-prepared style. Or you can take the temperature of the room, and adjust to the existing style without imposing your way. **It can be easier to adapt yourself**, rather than expecting others to adapt to you.

Lesson Four: Skate Where the Product is Going

Companies who prepared for success on mobile platforms before they were paramount increased their market share and lead. Anticipate what is going to be big, and get there before everyone else. This is a key way to differentiate yourself in the competitive PM field – **become one of the first**

experts in something new, before it becomes obvious.

Lesson Five: If You Want to Understand Your Users, Have a Diverse Team

Breger stated that having a diverse team is crucial to understanding your users and developing the products they want. By surrounding yourself with team members who have a diverse background, **you can create an environment where employees can complement each other**. This introduces new perspectives, so you can benefit from insights that you wouldn't be able to come up with on your own.

Lesson Six: Surround Yourself with People Who Compliment You

Surround yourself with people whose strengths compliment your weaknesses, and vice-versa. This requires you to be honest about your own limitations, and **seek out people who have the talents and abilities that you lack**.

Lesson Seven: Put Smart People on Hard Projects, Don't Worry About Background.

Don't worry about team members backgrounds when assigning tasks, rather, put smart people on hard

projects because they will look at it from a fresh angle. The Product world is changing so quickly that **backgrounds are less relevant than talent and intelligence**.

Lesson Eight: Scale Your Product Team Thoughtfully, But Make Sure They're Ready for Success

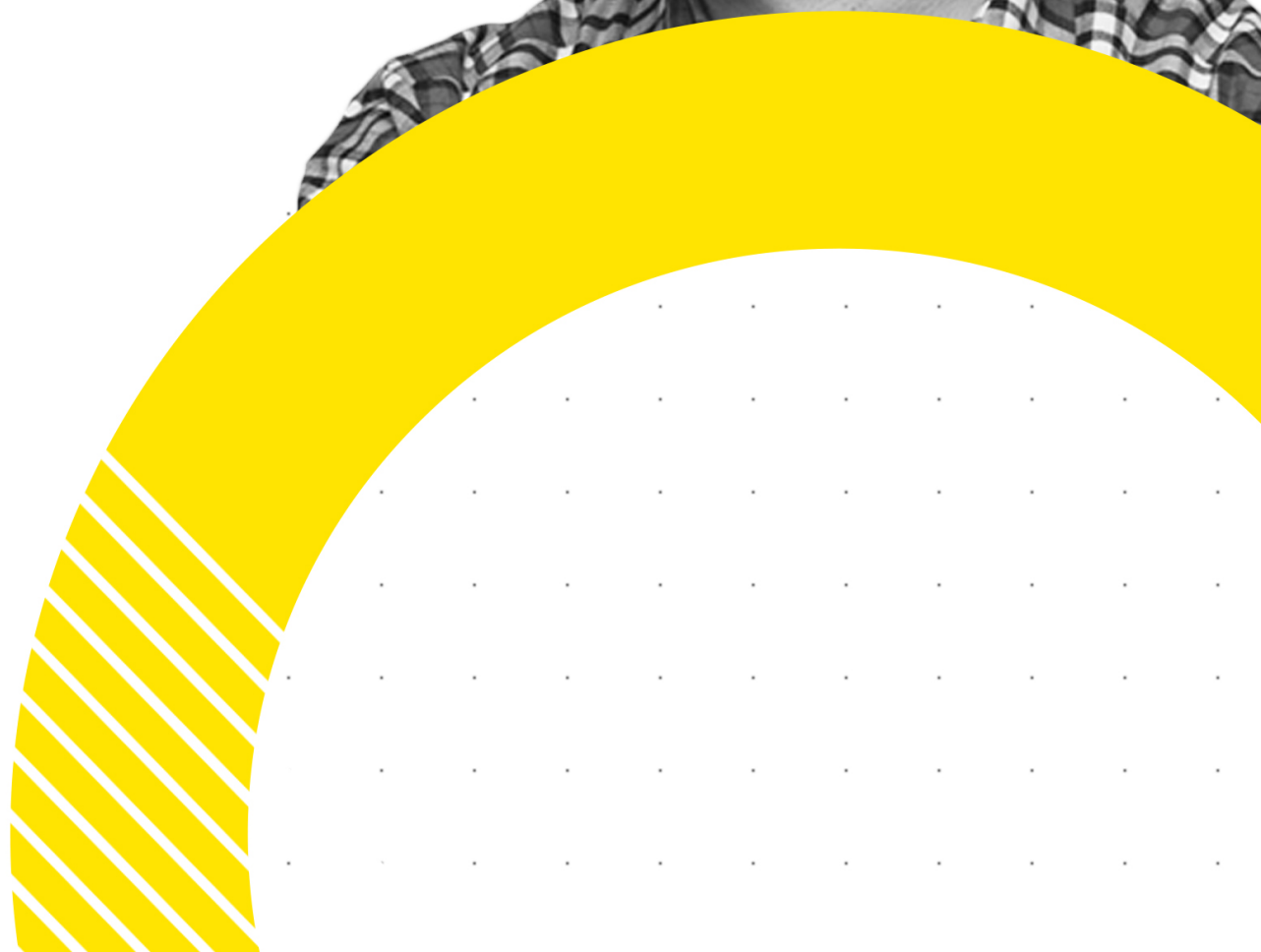
Understand the stage of the product and feature set that you have. Assign the right people to the right areas based on a clear strategy and roadmap. A fundamental aspect to forming a scalable team is making sure they're set up for success; **it is easy for great ideas to be lost when teams aren't given the resources** or attention they need to succeed.

Lesson Nine: Know What You're Looking for In Your Career, and Do Everything to Make it Happen

PMs must have career goals and the motivation to achieve them. Without this growth mindset, you will become stagnant and so will your team. **Always have career goals and be on the lookout for opportunities to achieve them**; your personal motivation will be contagious to your employees, facilitating a more productive and prosperous team. If you want to watch Breger's ProductCon SF full talk, [watch it here](#).

Unleash Your **Inner Leader**

by Kenneth Berger



How to Unleash Your Inner Leader

Kenneth Berger –
Fmr Product Manager, Slack

— Everyone thinks leadership is something they are missing. People try and fill this perceived “hole” with conferences, books, and articles on Medium. But Kenneth Berger explains that leadership does not come from a book. It is not a missing skill. What prevents most people from embracing their leadership style are the limiting beliefs that they don’t even know they have.

What Beliefs Are Limiting Your Potential as a Leader?

This is something that many people aren’t comfortable thinking about, but this is what is really holding us back.

From working at a number of leading Silicon Valley companies and having both positive and negative experiences, Kenneth learned a number of key lessons about leadership that we will explore below.

Lesson Learned at Adobe: Listen to Your Gut

Kenneth spent over 8 years at Adobe. Starting as an enthusiastic newcomer determined to shake things up, he soon found himself as part of the “old guard.” He was comfortable with the hours and the paycheck. So he stayed, despite the gut feeling that he wasn’t in the right place. Then, after 8 years, Kenneth was laid off.

The key lesson here is to listen to your gut and be curious about what those inner feelings have to say. It can be a little scary, because your gut is probably telling you to break out of your comfort zone. But the payoff is huge – it means you can work in a way that is consistent with your values. It means you’re fulfilled.

Lesson Learned at YesGraph: It's Not Your Job to be Right

YesGraph is a startup co-founded by Kenneth. His co-founder had an engineering background, Kenneth had a design background. The founders quickly fell into heated arguments. It seemed critically

important to be right. The thing is, the job of a founder isn't to be right. It's to make a company successful. When the founders put being right above being effective, the startup suffered.

Your job is not about winning the argument in the meeting. It's about the bigger stuff. When you let go of the good feeling that comes from fighting to be right and focus instead on the bigger mission, that's when you step into the role of being a leader.

Lesson Learned at Slack: Name the Elephant in the Room

When Kenneth left YesGraph, he was determined to avoid drama and focus instead on putting his head down and working. He believed in Slack from the start. They were making an impact. But Kenneth didn't fully understand his job at the company. He thought it was conventional PM work: talking to customers, determining features, etc.

What Kenneth hadn't realized was that Slack was the CEO's "baby." Kenneth wasn't hired to write specs. He was hired to take care of this "baby." And that's a very different job description. Kenneth was almost fired from Slack after about one

month. He asked what he could do to make it right. He was reinstated, but at a cost.

Suddenly, the work was imbued with fear. It was clear that something had not been right. After three months, Kenneth's position was eliminated and he was moved to another role. Kenneth fought for his old role, and again held onto the position. But the underlying issues were never resolved, and after another 9 months Kenneth left Slack permanently.

The lesson here is to always discuss the underlying causes of tension and negativity. If they are not discussed, they only get bigger. Once you name the "elephant," it's not an elephant anymore. It's just a regular business problem. Good leaders name the hard truths.

Lesson Learned Coaching: You Choose Your Own Story

After leaving Slack after only a year, Kenneth felt like a failure. But he didn't stay in this negative frame of mind. He chose instead to tell his own story. He started writing and speaking. Slack wasn't a failure, it was an amazing achievement that came with many lessons. Kenneth

chose to define his own perspective, and embrace new possibilities.

Kenneth learned that the value he gained from his Product work often came down to offering people support through one on one conversations. When he realized the impact a simple hour-long conversation could have on someone's life and career, he knew that was the path for him. So he became a coach. This was the perspective that felt right for him.

Never accept it when someone says "that's just the way it is." You can challenge this. Choose a perspective where more is possible.

Leadership Comes from Within

Leadership isn't something that you do. It's something that you are. It's about being:

When you listen to your gut, you're being introspective and curious.

When you let go of being right, you're being humble.

When you name the elephant in the room, you're being vulnerable and courageous.

When you choose a perspective where more is possible, you're being a visionary.

If you want to listen to Kenneth's ProductCon SF full talk, [watch it here](#).

THE SPEAKERS



Dan Olsen
Author of The Lean Playbook
[Watch the talk here](#)



Ketan Nayak
Product Manager at Dropbox
[Watch the talk here](#)



Josh Elman
VP of Product at Robinhood
[Watch the talk here](#)



Tyler Odean
Director of Product at Reddit
[Watch the talk here](#)



Amrit Pal
Product Manager at Square
[Watch the talk here](#)



Byron Jones
Director of Product at Optimizely
[Watch the talk here](#)



Gayle McDowell
Author of Cracking the PM Interview
[Watch the talk here](#)



Helen Sims
Product Manager at Airbnb
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David Breger
Product, Messenger at Facebook
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Fmr Product Manager at Slack
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